

entrepreneurs, we want to start companies that others can join as an event. Don't fool yourself. Mailing a check to some address listed in the back of an entrepreneur magazine isn't a business embryo. Any business that takes 10 minutes to do/join/participate violates entry. Violate entry and you stamp your ticket into the world of everyone and become apart of someone else's Fastlane plan.

EVERYONE IS DOING IT!

Ever get stuck in traffic on the expressway and go nowhere for hours? Welcome to "everyone is doing it." A road full of traffic is a road full of everyone. If everyone is doing it, I won't be doing it. I'll exit the road, and you should too. Why? Because everyone isn't wealthy. If everyone were wealthy, "everybody is doing it" would work.

When it comes to money, the best warning flag is "everyone." Everyone is a red flag that the Commandment of Entry has been violated. If everyone is engaged in the same activity, it surely will fail.

While "everyone" was buying houses like crazy during the housing boom, I did the opposite. I sat on the sidelines and sold. When the frenzy is buying, you should be selling. When the frenzy is selling, you should be buying or staying pat.

History is littered with "everyone is doing it" booms and busts. In the last decade alone, including the tech stock boom of the late 1990s, the great oil price explosion, and, more recently, the housing bust that led to the worldwide financial meltdown, there are perfect examples of "everyone is doing it." Everyone is doing it is a heavily trafficked road that moves slowly toward impending doom, like a herd of lambs heading for slaughter.

THE WARNING SIGNS OF "EVERYONE"

In the late 1990s when tech stocks were skyrocketing, I lost money because I followed everyone. I learned. During the latest housing boom, I didn't buy a house. No, this time I sold three properties before the decline. While the housing market collapsed and stocks soon followed, I was long gone and sitting in cash. How did I know?

I spotted the signs of "everyone is doing it," because if everyone were rich, "everybody is doing it" would work. While this logic might seem spurious, it has never failed me. How do I know when "everyone is doing it?" Simple. When there is irrational exuberance about any investment that pervades to Team Consumer—the general populous—that's when I know it is time to GET OUT AND STAY OUT.

When the plumber comes over to fix the toilet and raves about his three rental properties that have appreciated 15% in the last three months, it's time to get out and stay out. When your personal trainer raves about his Internet stock portfolio that earned 40% in two months, it's time to get out and stay out. When your truck-